UNITED STATES BANKRUPTCY COURT
FOR THE EASTERN DISTRICT OF MISSOURI
EASTERN DIVISION

In re:
KEVIN MORRELL,
Debtor.

CHARLES W. RISKE,
Chapter 7 Trustee,
Plaintiff,
v.
DANIEL DEMPSTER,
Defendant.

Case No. 24-44713-357
Honorable Brian C. Walsh
Chapter 7

Adversary Case No.

ADVERSARY COMPLAINT

COMES NOW Charles W. Riske ("Trustee"), the duly appointed Chapter 7 Trustee for the Bankruptcy Estate of Kevin James Morrell, by and through his undersigned counsel, and for his Adversary Complaint (hereinafter "Complaint"), states to the Court as follows:

JURISDICTION AND VENUE

1. Kevin James Morrell ("Debtor") filed his voluntary petition for relief under Chapter 7 of Title 11 of the United States Code (the "Bankruptcy Code") on or about December 26, 2024 (the "Petition Date").

2. Trustee is the duly appointed and acting Chapter 7 Trustee for the bankruptcy estate of Debtor.

3. Debtor is an individual residing in the State of Missouri.

4. Daniel Dempster ("Defendant") is an individual residing in the State of Missouri and within this judicial district.

5. This Court has jurisdiction over this matter pursuant to 28 U.S.C. §§ 151, 157, and 1334 and Rule 9.01 of the Local Rules of the United States District Court, Eastern District of Missouri.

6. Venue is proper in this Court pursuant to 28 U.S.C. §§ 1408 and 1409.

3. Debtor is an individual residing in the State of Missouri.

4. Daniel Dempster ("Defendant") is an individual residing in the State of Missouri and within this judicial district.

5. This Court has jurisdiction over this matter pursuant to 28 U.S.C. §§ 151, 157, and 1334 and Rule 9.01 of the Local Rules of the United States District Court, Eastern District of Missouri.

6. Venue is proper in this Court pursuant to 28 U.S.C. §§ 1408 and 1409.

7. This matter constitutes a "core proceeding" pursuant to 28 U.S.C. § 157(b)(2)(A), (E), (H), and (O), as this matter arises under Title 11 of the United States Code and in the Chapter 7 case of Debtor, presently pending before the United States Bankruptcy Court for the Eastern District of Missouri, Eastern Division, as Case No. 24-44713.

8. Trustee brings this Complaint against the Defendant pursuant to 11 U.S.C. §§ 542, 548 and 550.

FACTS COMMON TO ALL COUNTS

9. Paragraphs 1 through 8 are incorporated by reference herein as if more fully set out hereafter.

10. Prior to the Petition Date, and specifically during September and October of 2024, Debtor, as trustee for his own revocable trust, maintained an account ending in 2699 at Bank of America (the "Account").

11. All funds in the Account were "owned" by the Debtor through his revocable trust.

12. On or about September 28, 2024, Debtor withdrew "cash" from the Account in the amount of $5,000.00 utilizing Check No. 928.

13. On or about September 28, 2024, Debtor withdrew "cash" from the Account in the amount of $10,000.00 utilizing Check No. 929.

14. On or about September 30, 2024, Debtor withdrew "cash" from the Account in the amount of $10,000.00 utilizing Check No. 930.

15. On or about October 4, 2024, Debtor withdrew "cash" from the Account in the amount of $10,000.00 utilizing Check No. 931.

[COUNSEL TO STATE WHETHER PLAINTIFF CONSENTS OR DOES NOT CONSENT TO THE ENTRY OF FINAL ORDERS OR JUDGMENT BY THE BANKRUPTCY JUDGE, FED. R. BANKR. P. 7008(a)]

13. On or about September 28, 2024, Debtor withdrew "cash" from the Account in the amount of $10,000.00 utilizing Check No. 929.

14. On or about September 30, 2024, Debtor withdrew "cash" from the Account in the amount of $10,000.00 utilizing Check No. 930.

15. On or about October 4, 2024, Debtor withdrew "cash" from the Account in the amount of $10,000.00 utilizing Check No. 931.

16. On or about October 8, 2024, Debtor withdrew "cash" from the Account in the amount of $10,000.00 utilizing Check No. 932.

17. Contemporaneously with the cash withdrawals referenced in paragraphs 12-16, above, Debtor transferred a sum equal to each cash withdrawal, being $45,000.00 in the aggregate, to Defendant (collectively, the "Transfers").

COUNT I

TURNOVER OF PROPERTY PURSUANT TO 11 U.S.C. § 542

18. Paragraphs 1 through 17 are incorporated by reference herein as if more fully set out hereafter.

19. Prior to the Transfers, Debtor and Defendant entered into an oral agreement for Debtor to loan money to Defendant.

20. Per the loan agreement, Debtor agreed to loan a sum of at least $45,000.00 to Defendant.

21. Debtor fulfilled his obligation(s) under the loan agreement by transferring the sum of $45,000.00, in cash, to Defendant per the Transfers.

22. Per the loan agreement, Defendant agreed to repay the sum of $45,000.00 to Debtor upon demand by Debtor.

23. Per the loan agreement, the loan could and would be payable by Defendant to Debtor in less than a term of one year.

24. The debt owed by Defendant to Debtor became property of Debtor's bankruptcy estate on the Petition Date and remains property of the estate.

25. By letter dated April 11, 2025, Trustee made demand upon Defendant to pay the sum of $45,000.00 to the bankruptcy estate in accordance with the loan agreement between Defendant and Debtor.

23. Per the loan agreement, the loan could and would be payable by Defendant to Debtor in less than a term of one year.

24. The debt owed by Defendant to Debtor became property of Debtor's bankruptcy estate on the Petition Date and remains property of the estate.

25. By letter dated April 11, 2025, Trustee made demand upon Defendant to pay the sum of $45,000.00 to the bankruptcy estate in accordance with the loan agreement between Defendant and Debtor.

26. Defendant failed to respond to Trustee's demand for payment.

27. By letter dated May 22, 2025, counsel for Trustee made demand upon Defendant to pay the sum of $45,000.00 to the bankruptcy estate in accordance with the loan agreement between Defendant and Debtor.

28. Defendant failed to respond to counsel's demand for payment.

29. As of the date of this Complaint, Defendant owes a debt to the Debtor in the amount of $45,000.00, which is now past due and payable to the bankruptcy estate.

WHEREFORE, Trustee prays that this Honorable Court make and enter judgment in favor of the Trustee and against the Defendant in the amount of $45,000.00, plus costs and pre- and post-judgment interest thereon; and grant such other and further relief as is just and proper.

COUNT II
AVOIDANCE OF FRAUDULENT TRANSFERS PURSUANT TO 11 U.S.C. § 548

30. Paragraphs 1 through 29 are incorporated by reference herein as if more fully set out hereafter.

31. Each of the Transfers was made by Debtor to Defendant approximately 3 months prior to the Petition Date.

32. Debtor possessed an ownership interest in the funds transferred from Debtor to Defendant via the Transfers.

33. Debtor received no monetary or otherwise quantifiable, economic consideration from Defendant in exchange for any of the Transfers.

34. Debtor was insolvent on the date of each of the Transfer or became insolvent as a result of the Transfers.

32. Debtor possessed an ownership interest in the funds transferred from Debtor to Defendant via the Transfers.

33. Debtor received no monetary or otherwise quantifiable, economic consideration from Defendant in exchange for any of the Transfers.

34. Debtor was insolvent on the date of each of the Transfer or became insolvent as a result of the Transfers.

35. To the extent the Transfers were not made on account of a valid loan agreement, the Transfers were fraudulent transfers as defined by 11 U.S.C. § 548.

WHEREFORE, Trustee prays that this Honorable Court make and enter judgment in favor of the Trustee and against the Defendant, avoiding and setting aside each of the Transfers as a fraudulent transfer pursuant to 11 U.S.C. § 548, and grant such other and further relief as the Court deems just and proper.

COUNT III
TURNOVER OF PROPERTY PURSUANT TO 11 U.S.C. § 550

36. Paragraphs 1 through 35 are incorporated by reference herein as if more fully set out hereafter.

37. To the extent the Transfers were not made on account of a valid loan agreement, each of the Transfers is subject to avoidance pursuant to 11 U.S.C. § 548.

38. Defendant was the initial transferee of each of the Transfers.

39. Defendant was not a good faith transferee of any of the Transfers.

40. Defendant was not and is not a minor.

41. Defendant was not and is not incompetent.

WHEREFORE, Trustee prays that this Honorable Court make and enter judgment in favor of the Trustee and against the Defendant, pursuant to 11 U.S.C § 550, in an amount equal

WHEREFORE, Trustee prays that this Honorable Court make and enter judgment in favor of the Trustee and against the Defendant, pursuant to 11 U.S.C. § 550, in an amount equal to the aggregate sum of the Transfers avoided in accordance with 11 U.S.C. § 548, plus costs and pre- and post-judgment interest; and grant such other and further relief as may be just and proper.

to the aggregate sum of the Transfers avoided in accordance with 11 U.S.C. § 548, plus costs and pre- and post-judgment interest, and grant such other and further relief as may be just and proper.

Respectfully submitted,
SUMMERS COMPTON WELLS LLC

Date: June 16, 2025

By: /s/ Sarah E. Tomlinson
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Date: June 16, 2025

Respectfully submitted,
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